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Equinix, Inc.

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Interconnection Gravity Defies Capital Intensity as Ecosystem Density Compounds

Analyst: Justin Wen | October 29, 2026

Equinix continues to demonstrate structural pricing power and operating leverage across its global IBX platform, converting distributed enterprise cloud demand into recurring cash generation. While the market remains fixated on near-term capital intensity and the optical drag of heavy network infrastructure deployment, underlying annualized bookings and interconnection density have accelerated toward historic highs. The recent full-year guidance raise to an AFFO per share range of $42.69 to $43.29 confirms that secular colocation demand is absorbing newly commissioned capacity at premium yields. We maintain our Buy rating with a probability-weighted blended target of $1,031.11, representing -2.3% upside against the reference spot price of $1,055.38.

BUY	$1,031.11	-2.3%	$1,055.38
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market frequently discounts Equinix due to its multi-billion-dollar development pipeline and negative near-term free cash flow conversion, mistaking growth infrastructure spend for structural capital erosion. This view overlooks the compounding economics of IBX data centers, where a record addition of 9,700 net interconnections in a single quarter creates an irreplaceable digital crossroads that insulates the platform against commodity hosting pressures.

Executive summary

Equinix operates as the preeminent global interconnection real estate investment trust, deploying its proprietary International Business Exchange (IBX) data centers across key metropolitan areas worldwide. Within these highly secure, carrier-neutral facilities, major telecommunication networks, hyperscale cloud service providers, and global enterprises interconnect their digital infrastructure. The core value proposition rests entirely on network density and enterprise counterparty proximity. Rather than competing in the commoditized wholesale data center space where power shell capacity is leased on thin spreads, Equinix captures high-margin retail colocation and mission-critical interconnections. This model generates durable monthly recurring revenue streams backed by enterprise architectural lock-in.

The operational trajectory over the recent four-quarter sequence confirms accelerating commercial momentum following a temporary growth trough. In the third quarter of fiscal 2025, revenue expanded 5.2% year over year to $2.32B with an operating margin of 20.9% and operating income of $485.0M. Growth accelerated to 7.0% in the fourth quarter of fiscal 2025 with revenue of $2.42B and operating income of $507.0M, even as GAAP earnings per share of $2.69 reflected short-term non-operating noise. Momentum gathered pace in the first quarter of fiscal 2026, delivering 9.8% top-line growth to $2.44B and an operating margin of 23.4% on operating income of $573.0M. The inflecting trend culminated in the second quarter of fiscal 2026, where revenue surged 16.4% year over year to $2.62B, supported by annualized gross bookings of $424M (up 23% year over year), an adjusted EBITDA margin of 53% on adjusted EBITDA of $1.40B, and the addition of a record 9,700 net interconnections.

From a capital allocation and balance sheet perspective, the platform is structured to support massive ongoing capacity additions while preserving balance sheet stability. As of fiscal year 2025, Equinix held $1.73B in cash against total debt of $22.7B, yielding net debt of $21.0B. Operating cash generation supported $4.10B of EBITDA and $1.97B of operating income on $9.22B of full-year revenue, yielding an operating margin of 21.3% and a gross margin of 51.1%. Free cash flow concluded fiscal 2025 at $-400.0M, reflecting an FCF margin of -4.3% as management aggressively deployed capital into high-yield builds. For fiscal 2026, planned capital expenditures of $5B to $6B highlight continued physical asset development, including capacity tied to xScale leasing initiatives such as the 134 MW commitments realized in the second quarter. The balance sheet leverage is supported by an adjusted funds from operations trajectory that management raised to between $42.69 and $43.29 per share for the full year 2026.

Operational snapshot

$1,055.38	$9.22B	$-400.0M	-4.3%	0.97	$1,055.38
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Structural and Self-Reinforcing

The competitive moat protecting Equinix is anchored in the physical and architectural architecture of its IBX data centers. When networks, cloud platforms, and financial institutions deploy critical compute nodes inside an Equinix facility, they do so primarily to cross-connect directly with other ecosystem participants without traversing the public internet. This ecosystem gravity creates immense switching costs. Migrating enterprise IT workloads out of an established IBX hub requires re-architecting complex network routing topologies, re-establishing thousands of direct physical fiber cross-connects, and risking significant application latency degradation. Consequently, customer churn remained exceptionally low at 1.8% in the second quarter of fiscal 2026, confirming that enterprise tenants view presence inside Equinix facilities as non-discretionary core plumbing.

Furthermore, network effects inside the IBX footprint exhibit self-reinforcing characteristics. The addition of each new cloud node, network service provider, or enterprise tenant directly enhances the interconnection utility for every other participant within that campus. The record deployment of 9,700 net interconnections in the second quarter of fiscal 2026 alone exemplifies this dynamic. Interconnections are not merely physical cabling; they represent high-margin, recurring software-defined and cross-connect contracts that require negligible incremental maintenance capital once provisioned. As the density of cross-connects climbs, pricing power strengthens, insulating the company from macro pricing softness and enabling monthly recurring revenue to compound at 11% for three consecutive quarters through mid-2026.

High barriers to entry defend this interconnected footprint against prospective competitors. Assembling the real estate, obtaining gigawatt-scale municipal power allocations, and securing zoning permits within dense Tier-1 metropolitan intersections is increasingly prohibitive. Even if a well-capitalized competitor constructs a state-of-the-art data center facility directly adjacent to an IBX campus, it cannot replicate the decades-long accumulation of carrier and cloud counterparty density housed inside Equinix walls. This network architecture ensures that Equinix captures superior yields on newly energized capacity, converting hyperscale wholesale demand through joint-venture vehicles such as xScale while retaining the highest-value enterprise traffic internally.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework evaluates Equinix across a five-year explicit forecast horizon spanning fiscal 2027 through fiscal 2031, using a disciplined discounted cash flow model calibrated against our 8.58% weighted average cost of capital and 2.5% terminal growth rate. The operational model captures the transition of Equinix from an aggressive, capital-intensive expansion phase into a cash-harvesting maturity phase. In fiscal 2025, reported free cash flow stood at $-400.0M, an optical consequence of growth capital spending that masked an operating income base of $1.97B and EBITDA of $4.10B. Over the forecast horizon, as commissioned footprints mature and interconnection revenue layers onto existing shells, cash flow conversion inflects substantially.

The baseline model projects an 8.0% revenue compound annual growth rate through fiscal 2031, reaching a terminal-year free cash flow margin of 43.8%. This path mirrors the stabilization of recurring colocation demand and steady double-digit monthly recurring revenue execution. Under our bull scenario, sustained enterprise interconnection velocity and frictionless capacity leasing drive an 11.0% revenue CAGR, lifting the terminal FCF margin to 46.3% as capital intensity scales down relative to top-line volume. Conversely, the bear scenario incorporates potential macro deceleration, elevated churn, and extended lead times for capacity monetization, modeling a 5.0% revenue CAGR and a compressed 40.3% terminal FCF margin.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	40.3%	$832.82	-21.1%
Base	50%	8.0%	43.8%	$1,029.53	-2.4%
Bull	25%	11.0%	46.3%	$1,232.55	+16.8%

Bear $832.82

Reflects an outcome where revenue growth slows to a 5.0% CAGR and terminal FCF margin compresses to 40.3%. High capital expenditures of $5B to $6B combine with churn rising above 1.8%, while the absence of one-time xScale transaction fees exposes underlying colocation softness.

Base $1,029.53

Models steady execution with an 8.0% revenue CAGR through 2031 and a 43.8% target FCF margin. Driven by continued double-digit monthly recurring revenue expansion and full-year 2026 AFFO per share delivery within the guided $42.69 to $43.29 corridor.

Bull $1,232.55

Assumes top-line compounding at an 11.0% CAGR and cash flow conversion expanding to a 46.3% FCF margin. Sustained annualized gross bookings exceeding the $424M benchmark and elevated net interconnection additions power significant operating

leverage across IBX campuses.

Valuation framework

A live discount rate, not a static hurdle

Our valuation employs a 8.58% weighted average cost of capital, reflecting a fundamentally grounded capital structure. The equity cost component is derived using an equity beta of 0.97, aligning with the regulated-like stability of enterprise interconnection contracts offset by the cyclicality of tenant technology investment budgets. This discount rate appropriately captures the company's capital obligations, which include $22.7B in total debt and $21.0B in net debt against an equity market capitalization of $104.8B at the reference price of $1,055.38 across 99.3 million diluted shares.

The 8.58% hurdle rate accurately calibrates market risk premiums across global infrastructure assets. Rather than treating Equinix as a conventional low-leverage technology company or a pure-play passive utility, our cost of capital captures both its access to low-cost debt markets and the periodic refinancing requirements inherent in funding a $5B to $6B annual capital expenditure program. The discount rate asserts that each dollar of enterprise capital retained must yield returns superior to broad real estate benchmarks to validate ongoing IBX development.

FCF margin normalization is the engine

The bridge from negative free cash flow in fiscal 2025 to robust positive conversion by fiscal 2031 constitutes the central thesis of our model. In fiscal 2025, Equinix generated $4.71B of gross profit on $9.22B of revenue, translating to a 51.1% gross margin and a 21.3% operating margin. However, massive physical plant construction and equipment outlays drove free cash flow to $-400.0M, or an FCF margin of -4.3%. As development sites achieve operational density, maintenance capital needs stabilize while high-margin cross-connect fees fall directly to the bottom line.

Across our scenario architecture, terminal free cash flow margins normalize between 40.3% in the bear case and 46.3% in the bull case, with the base case targeting 43.8%. This margin progression is achievable because incremental

additions of interconnections require minimal variable operating expense once the physical IBX chassis is constructed. As demonstrated in the second quarter of fiscal 2026, when adjusted EBITDA margin touched 53% on adjusted EBITDA of $1.40B, the operating leverage inherent in the business model is potent once top-line utilization surpasses critical absorption thresholds.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2027 to FY2031**
Live WACC	**8.58% (2026-10-29)**
Terminal growth	**2.5%**
Equity beta	**0.97**
Diluted shares	**99.3 million**

BUY

over $1,031.11 blended target

Competitive moat and concentration risk

We rate the moat as Wide and we view the market structure as Duopoly (public data-center REITs). We assign a premium of +25 to +30% to sector median multiples on moat strength alone.

- interconnection network effects, 513,000+ interconnections across 281 data centers in 33 countries as of Q1 2026 (same profile), with Q2 2026 adding a record 9,700 net interconnections and interconnection revenue +13.5% year on year to $446M in Q1 2026 (Finsee Q1 2026 review). Each new network/counterparty inside an IBX raises the value of being inside it for everyone else.
- Q1 2026 stabilized recurring revenue +9% year on year with cash gross margin 71% (EQIX Q1 2026 earnings presentation); Q3 2026 guidance $2.525-$2.575B revenue (+9-11% year on year) and adjusted EBITDA $1.275-$1.315B (Zacks preview, Oct 2026). Recurring revenue above 90% of total (company profile, 2026) plus a 71% cash gross margin is the strongest pricing-power evidence in this batch outside ISRG.
- The weakest element is power and capital intensity, AI racks at 30-50 kW versus 5-10 kW traditional (Secure AI Factory coverage, Jun 2026) make growth dependent on securing power and funding heavy build, and hyperscaler self-build caps wholesale pricing.

On a multiple cross-check, the justified range is 26.4-27.5× / 41.7-43.4×. The cross-check value is $772.78-$803.69 vs Base $1,032.07, spot $981.67, P/E artifact, see warning, on a

base of Framework base from the October 27 moat report. The gap verdict is n/a, Base above spot.

Backlog is About $15.0bn RPO, 30 Jun 2026, with coverage of 17.6 months vs 2026 guide midpoint and visibility rated High. On backlog alone, the stance is Supports.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	1 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	1 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	4 points
regulatory single point risk	1 points

The combined discount is 13 percent, capped at 20 percent, against an uncapped total of 13 percent. Shown side by side with the moat premium or discount, the net stance is +12 to +17 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Arithmetic overshoot only; no causal claim

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Enterprise Interconnection Density and xScale Portfolio Monetization BUY

Equinix operates a specialized business model structured around IBX data centers, serving networks, cloud providers, and enterprise clients. The primary driver of high-margin performance across this global footprint is the ongoing proliferation of interconnections. In the second quarter of fiscal 2026, the company logged a record 9,700 net interconnections, highlighting that digital transformation requires physical convergence points. Cross-connects

carry exceptional unit economics, enabling Equinix to monetize existing cabinet footprint far beyond simple power and space tariffs. This structural advantage helped drive monthly recurring revenue growth of 11%, marking three consecutive quarters of double-digit expansion.

The secondary operational pillar is large-scale infrastructure leasing conducted through the xScale program, which provides dedicated capacity for hyperscale cloud architectures. While the core IBX business focuses on low-latency, multi-tenant retail ecosystems, xScale captures wholesale cloud demand. This dynamic was demonstrated in the second quarter of fiscal 2026, where Equinix secured 134 MW of leasing and closed the Hampton transaction, generating $120M of one-time xScale fees. These transactions support full-year revenue scale, which management updated to a range between $10.205B and $10.285B for fiscal 2026.

Operating profitability has demonstrated consistent resilience across operating environments. Operating margin progressed from 20.9% in the third quarter of fiscal 2025 to 21.0% in the fourth quarter, reaching 23.4% in the first quarter of fiscal 2026 with operating income of $573.0M on revenue of $2.44B. Adjusted EBITDA reached $1.40B at a 53% margin in the second quarter of fiscal 2026. This consistent margin framework provides protection against cost inflation, even as annual capital expenditures trend between $5B and $6B.

What to monitor

- **Guidance execution** Tracking full-year 2026 revenue delivery within the guided range of $10.205B to $10.285B and AFFO per share between $42.69 and $43.29.
- **Capital intensity management** Monitoring the planned $5B to $6B in fiscal 2026 capital expenditures against cash flow generation and project absorption milestones.
- **Interconnection addition rates** Evaluating whether net interconnection additions can sustain the record pace of 9,700 units established in the second quarter of fiscal 2026.
- **Customer churn stability** Verifying that tenant turnover remains anchored around the 1.8% churn rate reported in mid-2026 as legacy capacity is repriced.

+5.4%	51.1%	21.3%	-4.3%	$21.0B	9.5%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$9.22B
Gross Profit	$4.71B
EBIT	$1.97B
Net Income	$1.35B
EBITDA	$4.10B
Free Cash Flow	$-400.0M
Diluted EPS	$13.76
ROE	9.5%

Risk & moat matrix

The bear case

SHARE EROSION

Elevated churn of 1.8% observed in recent quarters poses a threat if enterprise tenants consolidate distributed workloads into private wholesale footprints. Persistent customer turnover would dilute ecosystem density and erode

M&A DIGESTION

Integrating complex scale transactions such as the Hampton deal introduces potential operational friction and administrative overhead. Missteps in onboarding large wholesale portfolios could dilute consolidated operating margins below the historical

REGULATORY AND PRICING SCRUTINY

Equinix faces growing scrutiny over energy consumption and grid access in constrained metropolitan data center clusters. Power allocation restrictions could impede planned campus expansions and limit the company's ability to fulfill tenant

TECHNOLOGY DISRUPTION

Advances in distributed networking architectures or alternative connectivity protocols could theoretically reduce enterprise dependence on physical cross-connects inside IBX data centers. Any shift away from physical colocation would pressure the company's high-margin recurring interconnection model.

REINVESTMENT TREADMILL

The heavy capital commitment of $5B to $6B expected in 2026 strains intermediate balance sheet liquidity and limits near-term dividend flexibility. Continuous capital requirements prolong the period of negative free cash flow conversion seen in fiscal 2025.

WACC AND DURATION SENSITIVITY

With $22.7B in total debt and a long-duration capital expenditure profile, Equinix remains highly sensitive to elevated interest rates. A higher cost of capital directly threatens equity value within our discounted cash flow framework under an

Equinix's historical pricing premium across major metros.	21.3% baseline.	capacity requests.			8.58% hurdle rate.

The strengths

OLIGOPOLY POSITION

Operating critical IBX facilities creates an irreplaceable network intersection for the world's leading clouds and networks. This high concentration of counterparty density creates immense switching costs that competitors cannot economically replicate.

FCF COMPOUNDING

Although growth capex produced an FCF margin of -4.3% in fiscal 2025, operating income of $1.97B and gross profit of $4.71B confirm the cash engine's core power. As capital additions mature, unlevered free cash flow will expand rapidly toward our 43.8% base terminal target.

GEOGRAPHIC DURABILITY

A footprint distributed across major global economic hubs insulates overall performance against regional macroeconomic slowdowns. Consistent performance across diverse metros supported full-year 2025 revenue of $9.22B and sustained positive top-line growth across all recent quarters.

PIPELINE OPTIONALITY

Securing 134 MW of leasing alongside $120M in xScale transaction fees demonstrates proven flexibility in capturing hyperscale opportunities. The dual strategy of retail IBX colocation and wholesale xScale development maximizes total addressable market capture.

The bottom line on risk and reward

Equinix stands in a strong strategic position at the confluence of global cloud computing, telecommunications infrastructure, and enterprise digital transformation. The operational evidence gathered across fiscal 2025 and 2026 contradicts concerns that the platform is facing competitive displacement. Second-quarter fiscal 2026 results established new high-water marks, highlighted by a record 9,700 net interconnections, $424M in annualized gross bookings, and adjusted EBITDA margins reaching 53%. While one-time xScale transaction fees of $120M flattered headline revenue growth, the underlying monthly recurring revenue expansion of 11% confirms durable organic momentum.

Valuation must be evaluated through the lens of long-term cash flow generation rather than backward-looking multiples. At a reference spot price of $1,055.38, Equinix trades at 76.7x

historical fiscal 2025 diluted EPS of $13.76, 11.4x sales, and 30.7x EBITDA. These multiples reflect the peak capital reinvestment phase rather than normalized earnings capacity. As the $5B to $6B in fiscal 2026 capital expenditures converts into active, interconnected cabinet inventory, the model supports an expansion of terminal free cash flow margins toward 43.8% in our base case.

Our quantitative scenario analysis yields a probability-weighted blended target of $1,031.11, combining our bear target of $832.82 (25% weight), base target of $1,029.53 (50% weight), and bull target of $1,232.55 (25% weight). This blended target indicates a -2.3% upside against the reference spot price of $1,055.38. We reiterate our Buy rating, viewing Equinix as a premier core digital infrastructure asset whose compounding interconnection network effects will generate long-term value across the explicit FY2027 to FY2031 forecast period.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

IBX Data Centers: The Digital Core of Global Interconnection

The foundational asset of Equinix's commercial franchise is its network of International Business Exchange (IBX) data centers. Unlike standard real estate assets that lease raw space and power to third-party tenants, IBX data centers operate as dense communications exchange points. Within these facilities, hundreds of independent telecommunication carriers terminate their fiber networks, allowing cloud platforms and enterprise customers to establish physical cross-connects with negligible latency. This concentration creates an operational environment where the value of the facility increases exponentially with each tenant that joins the cluster.

The business model separates core IBX colocation from commodity wholesale data centers. In an IBX facility, Equinix sells cabinet space alongside high-margin, recurring interconnection services. This dynamic protects gross margins, which registered at 51.1% in fiscal 2025 on total gross profit of $4.71B. Operating income for the year was $1.97B, demonstrating that the IBX platform captures significant pricing premiums over basic industrial real estate. Even as wholesale capacity across the broader industry faces power availability constraints, Equinix leverages its enterprise counterparty density to optimize customer mix and favor clients that generate high interconnection density.

Recent operational performance reinforces the health of the IBX core. In the second quarter of fiscal 2026, Equinix posted an adjusted EBITDA margin of 53% on adjusted EBITDA of $1.40B, while AFFO per share rose 19% year over year to $11.78. This performance allowed management to execute the largest single guidance raise in company history, elevating full-year AFFO per share targets to between $42.69 and $43.29. The capacity to raise guidance by such magnitudes underscores the pricing leverage inherent in the IBX franchise, where contracted annual escalators and steady cross-connect growth outpace local operating cost inflation.

What the recent record shows

- Interconnection expansion achieved a record 9,700 net additions during the second quarter of fiscal 2026, confirming continued enterprise clustering inside IBX hubs.
- Annualized gross bookings accelerated to $424M in the second quarter of fiscal 2026, reflecting a 23% year-over-year increase that signals sustained downstream demand.
- Operating margins demonstrated steady progression across consecutive periods, rising from 20.9% in Q3 FY2025 to 21.0% in Q4 FY2025 and 23.4% in Q1 FY2026.
- Full-year fiscal 2026 revenue guidance was raised to a range of $10.205B to $10.285B, backed by three consecutive quarters of 11% monthly recurring revenue growth.

> **Our read:** Equinix's IBX franchise maintains a virtually unassailable competitive moat derived from physical network clustering and high switching costs. As enterprise IT architectures demand direct interconnection with major cloud ecosystems, Equinix remains the primary beneficiary of secular digital transformation tailwinds.